

Philip J. vs Ashapura Minechem Ltd. And Anr on 17 December, 2025

Author: Manish Pitale

Bench: Manish Pitale

2025:BHC-AS:55926-DB

bipin prithiani

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16-wp-3350.1

IN THE HIGH COURT OF JUDICATURE AT BOMBAY
CRIMINAL APPELLATE JURISDICTION

WRIT PETITION NO. 3350 OF 2013

Philip J.	...	Petitioner
Versus		
Ashapura Minechem Ltd. & Anr.	...	Respondents

Mr. Sachin Ramrao Pawar a/w Mr. Dewang S. Mhatre and Mr. Rohan D. Kaiche for the Petitioner.
Mr. Niranjana Mundargi a/w Adv. Keral Mehta, Adv. Sheroy M. Bodhanwalla, Ms. Sayali Puri, Mr. Akash Singh and Mr. Shreyas Thakur i/by M. S. Bodhanwalla & Co. for Respondent No.1.
Ms. Sharmila S. Kaushik, APP for Respondent No.2-State.

CORAM : MANISH PITALE AND
MANJUSHA DESHPANDE, JJ.

DATE : 17th DECEMBER 2025 P.C. :

. Heard learned counsel for the petitioner, learned counsel appearing for respondent No.1 (first informant) and learned APP for the respondent-State.

2. By this petition, the petitioner is seeking quashing of FIR No. 35 of 2011 dated 25th October 2011 registered at Shrivardhan Police Station, Dist. Raigad, for offences under Sections 406 and 420 of the Indian Penal Code, 1860 (IPC), as also the charge-sheet filed therein on 3rd March 2014 before the Judicial Magistrate First Class, Shrivardhan.

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3. During the pendency of this petition, interim stay of further proceedings was granted.

4. The grievance of the respondent No.1 (first informant) as discernible from the statement, leading to registration of the FIR, shows that there was an agreement executed between the parties for supply of iron ore at Goa. It was agreed that in terms of the contract executed between the parties, iron ore to the extent of 1,65,000 metric ton would be supplied by the petitioner for an agreed amount of Rs.26.50 crores. The respondent No.1 stated that a total amount of Rs.11.75 crores was transferred to the petitioner in terms of the said contract. It was also agreed between the parties that a ship would be taken on rent from Singapore for transporting the said iron ore. According to the respondent No.1, the ship arrived at Goa, but due to delay on the part of the petitioner to supply iron ore as per the agreement, the ship had to return empty. Not only was the iron ore not supplied, but the petitioner had to additionally bear the liability of payment of Rs.3.61 crores towards rent of the ship and a further amount of Rs.1.05 crores towards bank guarantee in that context.

5. It was further stated that after the respondent No.1 pursued the matter with the petitioner, 60,000 metric ton of iron ore of inferior quality was sought to be supplied by the petitioner, which the respondent No.1 refused to accept. Thereafter, discussions took place between the parties and it was agreed that the petitioner would pay a total amount of Rs.20 crores in the form of bipin prithiani 16-wp-3350.13.doc four cheques of Rs.5 crores each. Such cheques were handed over by the petitioner, but all of them bounced, due to which the respondent No.1 was constrained to institute proceedings under Section 138 of the Negotiable Instruments Act, 1881 (N.I. Act) before the competent Court at Shrivardhan, Dist. Raigad. The cases are still pending. It was further stated by the respondent No.1 that after the aforesaid proceedings for check bouncing were initiated, the petitioner in stages paid only an amount of Rs.4.5 crores, as a consequence of which, the subject offences were registered.

6. Upon completion of investigation, charge-sheet was filed, wherein various documents, including exchange of communications between the parties came on record. The investigation revealed that the respondent No.1 had indeed transferred amounts to the petitioner on various dates through cheques and RTGS, totalling to Rs.11.75 crores.

7. The learned counsel for the petitioner submitted that in the present case, a purely civil/commercial dispute is sought to be given a colour of criminality by the respondent No.1. By placing reliance on the agreement executed between the parties on 8 th April 2011, it was submitted that the FIR could not have been registered at Shrivardhan in District Raigad, as all the transactions and even the grievance of the respondent No.1 had arisen at Goa. It was submitted that the aforesaid agreement/contract incorporated an arbitration clause, which ought to have been bipin prithiani 16-wp-3350.13.doc invoked by the respondent No.1, if it was aggrieved. It was also brought to the notice of this Court that the legal jurisdiction clause in the agreement specified that the jurisdiction would lie with the district at Goa. On this basis, it was submitted that the very registration of the FIR at Shrivardhan, Dist. Raigad, was a still- born exercise and that this was a ground on which the subject FIR deserved to be quashed.

8. It was further submitted that in terms of the law laid down by the Supreme Court in the case of Delhi Race Club (1940) Limited & Ors. Vs. State of Uttar Pradesh & Anr., (2024) 10 SCC 690, the offences under Sections 406 and 420 of the IPC cannot go together and at least one of them deserves

to be knocked out. It was submitted that according to the petitioner, none of the offences are made out in the facts and circumstances of the present case.

9. It is submitted that there was no question of the petitioner having intention to cheat, right from the inception and even the offence of criminal breach of trust as defined under Section 405 of the IPC and punishable under Section 406 thereof, is clearly not made out in the facts and circumstances of the present case. It was submitted that facts beyond the control of the petitioner resulted in non supply of the iron ore within time. This would indicate that the petitioner could invoke the clause of force majeure in the factors and circumstances of the present case, further indicating that a civil/commercial dispute was sought to be given a colour of bipin prithiani 16-wp-3350.13.doc criminality by the respondent No.1. It was emphasized that even according to the respondent No.1, amount of Rs.4.5 was crores returned by the petitioner and therefore, this Court may consider allowing the present petition.

10. On the other hand, the learned APP for the respondent-State and the learned counsel appearing for respondent No.1 submitted that even if, as per the settled law, the two offences of Sections 406 and 420 of the IPC cannot go together, in the facts and circumstances of the present case, a strong prima facie case is clearly made out with regard to the offence of criminal breach of trust punishable under Section 406 of the IPC. It was submitted that the petitioner had absolutely no explanation for not supplying the promised iron ore, yet he pocketed huge amount of Rs.11.75 crores. Further liability of Rs.3.61 crores and 1.05 crores towards rent for the ship and bank guarantee had to be borne by the respondent No.1, due to the aforesaid acts of the petitioner.

11. It is submitted that the mindset and intention of the petitioner was clear from the cheques issued to the respondent No.1 that eventually bounced and it was further submitted that in such circumstances, having returned the only amount of Rs.4.5 crores cannot inure to the benefit of the petitioner. On this basis, it was submitted that the present petition ought not to be entertained.

12. With regard to the territorial jurisdiction of the authorities at Shrivardhan, Dist. Raigad, reliance was placed on the judgment bipin prithiani 16-wp-3350.13.doc of the Supreme Court in the case of Trisuns Chemical Industry Vs. Rajesh Agarwal & Ors., (1999) 8 SCC 686, to contend that at the stage of taking cognizance, the Magistrate would not be hampered by the objection of territorial jurisdiction raised on behalf of the petitioner. Such a stage would arise only post-cognizance and not earlier. It is submitted that the contention regarding territorial jurisdiction deserves to be rejected. On this basis, it is submitted that this Court may not show any indulgence to the petitioner.

13. We have heard the learned counsel for the rival parties in the light of the material placed on record, including the contents of the charge-sheet. It is settled law that same of set of facts can give rise to civil and criminal cases. What is required is that an analysis of the material on record indicates at least prima facie ingredients of the offences registered against the accused.

14. In the present case, the FIR shows that the offences under Section 406 and 420 of the IPC are registered against the petitioner. The judgment of the Supreme Court in the case of Delhi Race Club (1940) Limited & Ors. Vs. State of Uttar Pradesh & Anr. (supra) reiterated the settled position of law

that the two offences under Section 406 and 420 of the IPC pertaining to criminal breach of trust and cheating, cannot go together. After detailed discussion, the distinction between the two offences has been recorded in the said judgment as follows :

"41. The distinction between mere breach of contract and the offence of criminal breach of trust and cheating is a fine one.

bipin prithiani 16-wp-3350.13.doc In case of cheating, the intention of the accused at the time of inducement should be looked into which may be judged by a subsequent conduct, but for this, the subsequent conduct is not the sole test. Mere breach of contract cannot give rise to a criminal prosecution for cheating unless fraudulent or dishonest intention is shown right from the beginning of the transaction i.e. the time when the offence is said to have been committed. Therefore, it is this intention, which is the gist of the offence.

42. Whereas, for the criminal breach of trust, the property must have been entrusted to the accused or he must have dominion over it. The property in respect of which the offence of breach of trust has been committed must be either the property of some person other than the accused or the beneficial interest in or ownership of it must be of some other person. The accused must hold that property on trust of such other person. Although the offence i.e. the offence of breach of trust and cheating involve dishonest intention, yet they are mutually exclusive and different in basic concept.

43. There is a distinction between criminal breach of trust and cheating. For cheating, criminal intention is necessary at the time of making a false or misleading representation i.e. since inception. In criminal breach of trust, mere proof of entrustment is sufficient. Thus, in case of criminal breach of trust, the offender is lawfully entrusted with the property, and he dishonestly misappropriated the same. Whereas, in case of cheating, the offender fraudulently or dishonestly induces a person by deceiving him to deliver any property. In such a situation, both the offences cannot co-exist simultaneously."

15. The Supreme Court in the above quoted portion, has emphatically reached a conclusion that both offences cannot co- exist simultaneously. Therefore, the grievance of the respondent No.1 can either give rise to showing prima facie ingredients of the offence of criminal breach of trust or the offence of cheating and not both together.

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16. Having perused the statement of the respondent No.1, leading to registration of the FIR and the material that has come on record upon completion of investigation and filing of charge- sheet, we find that the ingredients of the offence of cheating cannot be said to be even prima facie made out. It does not appear to be a case where, due to the intention of the petitioner to cheat, right from the inception, the respondent No.1 was enticed to part with substantial amount of money. On the

contrary, even as per the grievance of the respondent No.1, it voluntarily handed over the aforesaid money to the petitioner in terms of the agreement between the parties on the belief and trust that iron ore as agreed would be supplied by the petitioner. In such a situation, we find that the offence of cheating cannot be said to be even prima facie made out against the petitioner in the facts of the case.

17. As regards the offence of criminal breach of trust punishable under Section 406 of the IPC, it would be appropriate to refer to the definition of criminal breach of trust under Section 405 thereof. The same reads as follows :

"Section 405 - Criminal breach of trust.

Whoever, being in any manner entrusted with property, or with any dominion over property, dishonestly misappropriates or converts to his own use that property, or dishonestly uses or disposes of that property in violation of any direction of law prescribing the mode in which such trust is to be discharged, or of any legal contract, express or implied, which he has made touching the discharge of such trust, or wilfully suffers any other person so to do, commits "criminal breach of trust".

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18. A bare perusal of the above quoted provision, shows that the essential ingredient of the offence is that after property is entrusted to a particular party, it develops a dishonest intention to misappropriate the same or to convert it for its own use.

19. In the present case, the essential ingredient of the offence levelled by the respondent No.1 against the petitioner in terms of the said agreement/contract executed between them, is that a huge amount of Rs.11.75 crores was transferred to the petitioner on the trust that in terms of the agreement iron ore would be supplied, but the petitioner refused to supply such iron ore. The statement of the respondent No.1 also reveals that even rent amount of Rs.3.61 crores pertaining to the ship agreed to be engaged by the parties, had to be borne by the respondent No.1 and even the amount of Rs.1.05 crores towards bank guarantee in that context also had to be paid by the respondent No.1. The exchange of communications between the parties, particularly letter dated 25 th April 2011 sent by the petitioner to the respondent No.1 shows that the petitioner had himself stated that costs for cancellation of the vessel would be on his account. Thus, an impression was given throughout to respondent No.1 that the iron ore as promised would be supplied and that incidental expenses as noted hereinabove would also be borne by the petitioner. Yet, not only the iron ore was not supply and the huge amount of Rs.11.75 crores was pocketed by the petitioner, further aforesaid liabilities were foisted upon the respondent No.1. We find that prima facie bipin prithiani 16-wp-3350.13.doc ingredient of the offence under Section 405 of the IPC pertaining to criminal breach of trust, punishable under Section 406 of the IPC is made out against the petitioner.

20. This cannot be said to be a purely commercial dispute sought to be given the colour of criminality by the respondent No.1. Although, it was sought to be indicated that factors beyond the

control of the petitioner had arisen in the present case, including failure on the part of the third party to supply iron ore, no material is available on record to indicate any steps taken by the petitioner to follow up the process of arranging for iron ore, which was to be supplied to the respondent No.1 in terms of the agreement and that too after receiving the aforesaid amount of Rs.11.75 crores from the respondent No.1.

21. This is further compounded by the fact that upon discussion, the petitioner agreed to pay amount of Rs.20 crores to the respondent No.1 to make good his lapses, but all the four cheques issued in favour of the respondent No.1 bounced, in the context of which, respondent No.1 is even today required to pursue the proceedings under Section 138 of the N.I. Act. Merely because the petitioner paid an amount of Rs.4.5 crores after the cheques had bounced, when he was facing a heat of proceedings in that context, cannot inure to his benefit and it cannot be claimed that a purely civil/commercial dispute was sought to be given the colour of criminality. Therefore, we are not inclined to hold in favour of the petitioner.

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22. As regards the territorial jurisdiction, the judgment of the Supreme Court in the case of Trisuns Chemical Industry Vs. Rajesh Agarwal & Ors. (Supra) is a complete answer. The Supreme Court considered a similar situation and after referring to the relevant provisions of the Criminal Procedure Code, 1973 (Cr.P.C.) and placing particular reliance on Section 190 thereof, observed as follows :

"13. The only restriction contained in Section 190 is that the power to take cognizance is "subject to the provisions of this chapter". There are 9 sections in Chapter XIV most of which contain one or other restriction imposed on the power of a First Class Magistrate in taking cognizance of an offence. But none of them incorporates any curtailment on such powers in relation to territorial barrier. In the corresponding provision in the old Code of Criminal Procedure (1898) the commencing words were like these: "Except as hereinafter provided...."

Those words are now replaced by "Subject to the provisions of this chapter...." Therefore, when there is nothing in Chapter XIV of the Code to impair the power of a Judicial Magistrate of the First Class taking cognizance of the offence on the strength of any territorial reason it is impermissible to deprive such a Magistrate of the power to take cognizance of an offence -- of course, in certain special enactments special provisions are incorporated for restricting the power of taking cognizance of offences falling under such acts. But such provisions are protected by non obstante clauses. Anyway that is a different matter.

14. The jurisdictional aspect becomes relevant only when the question of enquiry or trial arises. It is therefore a fallacious thinking that only a Magistrate having jurisdiction to try the case has the power to take cognizance of the offence. If he is a Magistrate of the First Class his power to take cognizance of the offence is not impaired by territorial restrictions. After taking cognizance he may have to decide as to the court which has jurisdiction to enquire into or try the offence and that

situation would reach only during the post-

bipin prithiani 16-wp-3350.13.doc cognizance stage and not earlier."

23. Hence, we are of the opinion that there was no impediment for the Magistrate at Shrivardhan, Dist. Raigad to take cognizance of the matter and even filing of the FIR in the first place at the police station at Shrivardhan. It is a different matter that the petitioner at the post-cognizance stage may air his grievance about territorial jurisdiction and the place where the trial should be conducted, but at this stage, it cannot be claimed that on the aspect of the territoriality any fundamental defect would be found in the pending proceedings.

24. In view of the above, the petition is partly allowed by quashing the registration of offence under Section 420 of the IPC against the petitioner. The FIR and charge-sheet to that limited extent are quashed. Consequently, further proceedings shall continue only in respect of offence under Section 406 of the IPC.

25. Needless to say, the petitioner would be at liberty to raise the grievance with regard to territorial jurisdiction at an appropriate stage in the pending proceedings. If such an objection is taken, it shall be decided in accordance with law.

(MANJUSHA DESHPANDE, J.) (MANISH PITALE, J.)